Islamic Finance: Have We Avoided a Sin Only to Commit a Greater One?

For decades, the promise of Islamic finance has resonated with millions: a financial system free from the shackles of *Riba* (interest), built not on exploitation but on justice, partnership, and shared prosperity. The goal was noble, the vision revolutionary. We sought to create an alternative to a conventional system that often privatizes profit while socializing risk.

But today, we must pause and ask a difficult, uncomfortable question: In our meticulous effort to avoid the *sin* of Riba, have we inadvertently created a system that commits a greater one, the sin of abandoning the *Ummah*?

In our focus on the *letter* of Shari'ah, have we forsaken its very *spirit*? We have become experts in contractual formalism, ensuring every transaction sidesteps the legal definition of interest. Yet, this has led to a system that often mirrors the social outcomes of the very model it was meant to replace: the rich get richer, the needy are offered business transactions instead of relief, and the core communal objectives of Islamic law are sidelined.

This is not a fringe critique; it is a fundamental challenge to the soul of the industry. It is time for a serious dialogue.

The Contradiction of Compliance

The Qur'an's prohibition of *Riba* is revealed in context. It condemns the practice of "doubled and multiplied" interest that crushes the indebted (Aal-Imran, 3:130) and makes a sharp, divine distinction between illegitimate interest and legitimate trade (Al-Baqarah, 2:275). The modern Islamic finance industry has built its entire edifice on the second verse, creating trade-based contracts to replace loans.

But it has almost completely ignored the ethical imperative of the first. When a person in dire need of funds for medical care or housing is offered a complex *Tawarruq* (commodity murabaha) transaction, a series of sales designed to synthetically generate liquidity at a markup, are we not engaging in a business transaction with someone who is in no position to do business? Are we not, in substance, exploiting their need, even if the form is technically a "sale"?

This departure from the spirit of the law goes even deeper. In the longest verse of the Qur'an, which details the writing of a debt contract, Allah gives a profound instruction: it is the borrower, the one with

the obligation, who should dictate the terms (...let the one who has the obligation dictate... Al-Baqarah, 2:282). This principle is a masterstroke of justice, designed to empower the weaker party and ensure the contract is a willing acknowledgment, free from the lender's coercive influence. Yet, what is the universal practice in our IFIs today? The exact opposite. The institution, the powerful party, stipulates every condition in a standardized, non-negotiable contract, turning a sacred covenant into a modern contract of adhesion.

This obsession with technical compliance leads to a dangerous moral calculation. We seem to believe that avoiding the specific prohibition of *Riba* is a greater virtue than upholding the sweeping Qur'anic commands for justice, compassion, and care for the poor. But is it? We are commanded:

> "إِنَّ اللَّهَ يَأْمُرُ بِالْعَدْلِ وَالْإِحْسَانِ وَإِيتَاءِ ذِي الْقُرْبَىٰ وَيَنْهَىٰ عَنِ الْفَحْشَاءِ وَالْمُنكَرِ وَالْبَغْيِ"
>
> "Indeed, Allah orders justice and good conduct and giving to relatives and forbids immorality and bad conduct and oppression." (An-Nahl, 16:90)

When our financial system enables wealth concentration and leaves little for societal development, is that justice? Is that good conduct?

The Maqasid Test: A Societal Report Card

The true measure of any Islamic system is its alignment with the Higher Objectives of Shari'ah (*Maqasid al-Shari'ah*). These five principles form the foundation of a flourishing, just society. How do our Islamic Financial Institutions (IFIs) fare when judged not by their contracts, but by their societal impact?

1. Preservation of Religion (Hifdh al-Din)

At an individual level, IFIs provide a "halal" alternative, which is commendable. But at a societal level, the religion’s core economic tenet is justice, not legal acrobatics. The widespread use of legal fictions (hiyal) to replicate conventional loans erodes the ethical foundation and spirit of the law, promoting a checklist Islam over a substantive one.

Rating: Partial (at best)

2. Preservation of Life (Hifdh al-Nafs)

This requires directing capital towards that which sustains life: healthcare, food security, and basic infrastructure. Yet, the portfolios of major IFIs are overwhelmingly dominated by consumer finance (cars, electronics) and high-end real estate. There is a glaring absence of systemic investment in public hospitals or agricultural projects that serve the masses.

Rating: Very Poor

3. Preservation of Intellect (Hifdh al-'Aql)

A society's intellect is preserved by funding education, innovation, and research. Where are the IFI-led venture capital funds based on true Musharakah (partnership) to empower the next generation of thinkers and builders? The industry prefers the low-risk, debt-like financing of tangible assets over the high-risk, high-reward funding of transformative ideas.

Rating: Very Poor

4. Preservation of Progeny (Hifdh al-Nasl)

This means fostering stable families and communities, primarily through accessible and affordable housing. While IFIs are active in the mortgage market, their

products serve those who are already creditworthy, not the millions in need of genuinely affordable housing. They finance individual asset acquisition, not community development.

Rating: Poor

5. Preservation of Wealth (Hifdh al-Mal)

This is the most misunderstood objective. In Islam, preserving wealth for society means ensuring its circulation and equitable distribution, not its hoarding and concentration. The Qur'an explicitly states that wealth is to be managed "...so that it may not be a thing taken in turns among the rich of you..." (Al-Hashr, 59:7).

Here lies the greatest failure. The ideal Islamic instruments are Musharakah and Mudarabah (profit-and-loss sharing), which create true partners in enterprise. Instead, the industry has defaulted to debt-based Murabaha (cost-plus sale), which guarantees a profit for the bank and shifts all the risk to the client. This model doesn't circulate wealth; it concentrates it.

The Glaring Contradictions: Zakat and "Shariah Compliance"

Islam has a built-in mechanism to fight the hoarding of wealth: *Zakat*. It is a spiritual tool with a profound economic function, to purify wealth by forcing its circulation back into the community.

How can an industry that enables and facilitates the accumulation of capital in a manner similar to conventional banking claim to be fully aligned with an Islamic worldview? Its core operational model, centered on debt-based financing for the affluent, works in direct opposition to the economic principle of *Zakat*.

This forces us to challenge the very term **"Shariah Compliant."** Can something be truly compliant if it fulfills a single prohibition in form, yet violates the foundational objectives of justice, compassion, and communal well-being in substance? Compliance must be holistic. It cannot be a stamp of approval purchased through clever financial engineering.

A Call for an Honest Dialogue

This critique is not a call to abolish Islamic finance. It is a desperate call to reform it, to rescue its soul from the clutches of commercialism and bring it back to its original, revolutionary purpose.

We, as a community of scholars, practitioners, and customers, must have the courage to ask:

- Why have we allowed risk-sharing to be replaced by risk-shifting?
- Why are our brightest minds designing complex products that mimic interest instead of developing models that fund societal needs?
- When will we measure our success not by asset size, but by our impact on poverty, health, and education?

We must stop being complacent. The ritual is meaningless if the purpose is forgotten. As Allah warns us in the Qur'an about those who pray but are heedless of the social implications of their faith:

> "أَرَأَيْتَ الَّذِي يُكَذِّبُ بِالدِّينِ. فَذَٰلِكَ الَّذِي يَدُعُّ الْيَتِيمَ. وَلَا يَحُضُّ عَلَىٰ طَعَامِ الْمِسْكِينِ"
>
> "Have you seen the one who denies the Faith? For that is the one who repulses the orphan. And does not encourage the feeding of the poor." (Al-Ma'un, 107:1-3)

In our fervent desire to avoid *Riba*, we must not become a people who build pristine contractual structures while the orphans of our society, the poor, the sick, the aspiring entrepreneur are left outside our gates. It is time to close this gap between our ideals and our reality. It is time to talk.